EDMOND DE ROTHSCHILD

DEFENSIVE EXPOSURE TO OIL COMPANIES

STRUCTURED INVESTMENTS ADVISORY

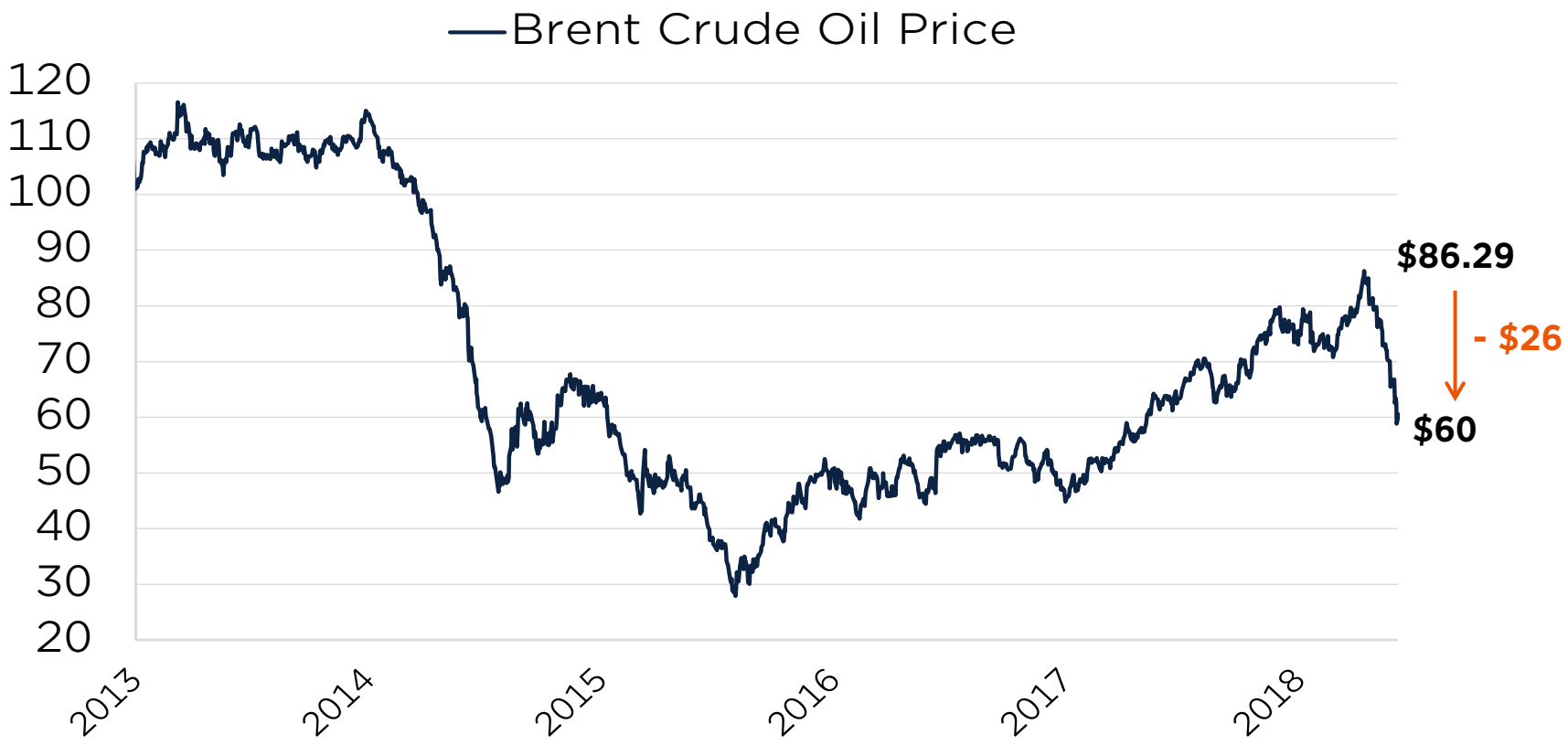
NOVEMBER 27th, 2018

EDMOND DE ROTHSCHILD, L'AUDACE DE BÂTIR L'AVENIR.

DEFENSIVE EXPOSURE TO OIL COMPANIES

Current market conditions on Oil

Oil Price



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Current market conditions on Oil

Oil Price

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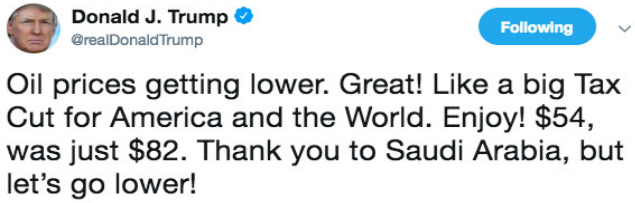
Current market conditions on Oil

5 possible explanations for the drop

SUPPLY SIDE

- **Saudi Arabian Oil Output Jumps:** production climbed in November following a steep rise in October
- **China Resumes Iran Imports:** Beijing will restart imports from Iran this month after receiving an exemption from the Trump administration. China can import 360,000 barrels of crude a day for up to six months
- **U.S. Crude Oil Stockpiles Climb:** oil stockpiles jumped by 4.9 million barrels and are about 6% above the five-year average for this time of year
- **Trump's tweet:** Trump pressured the kingdom to keep prices down



DEMAND SIDE

- **Global demand seems to be cooling down**

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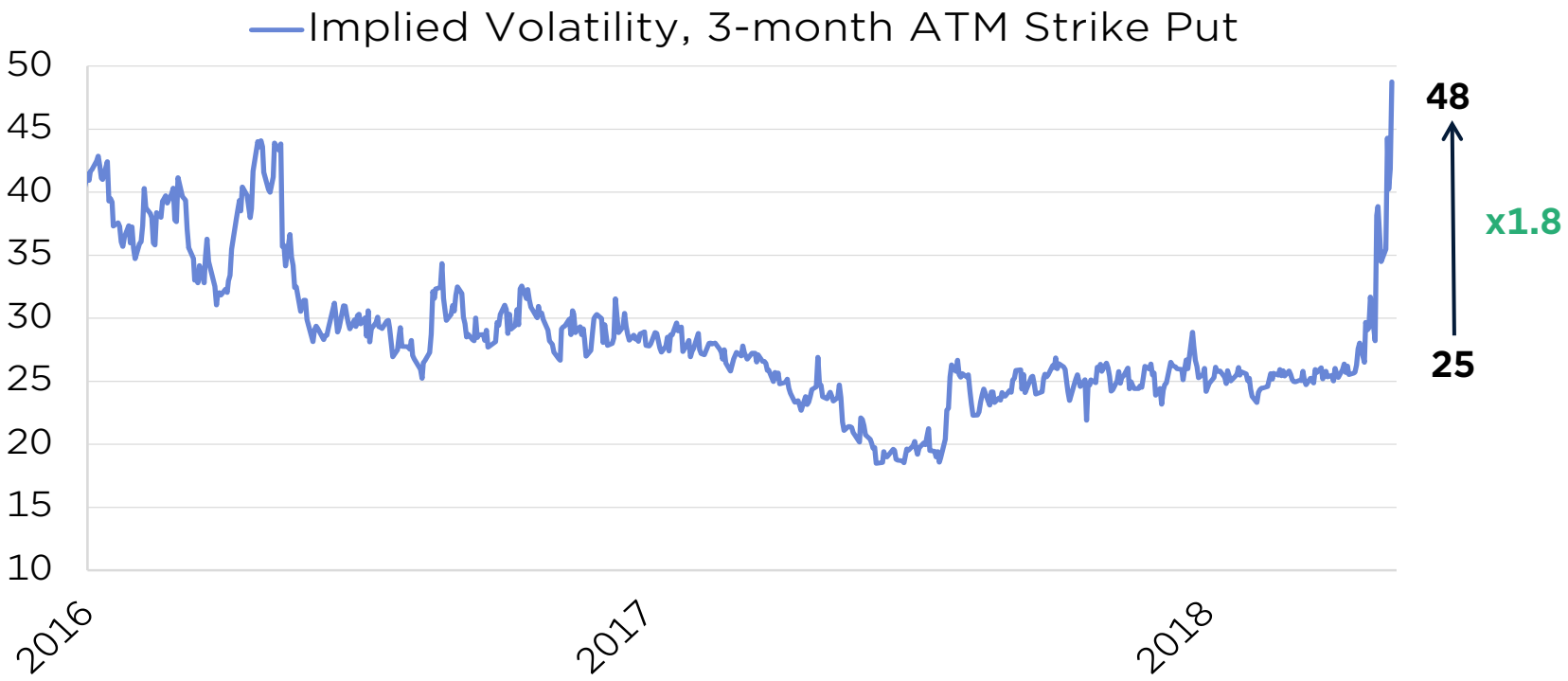
Implied Volatility



DEFENSIVE EXPOSURE TO OIL COMPANIES

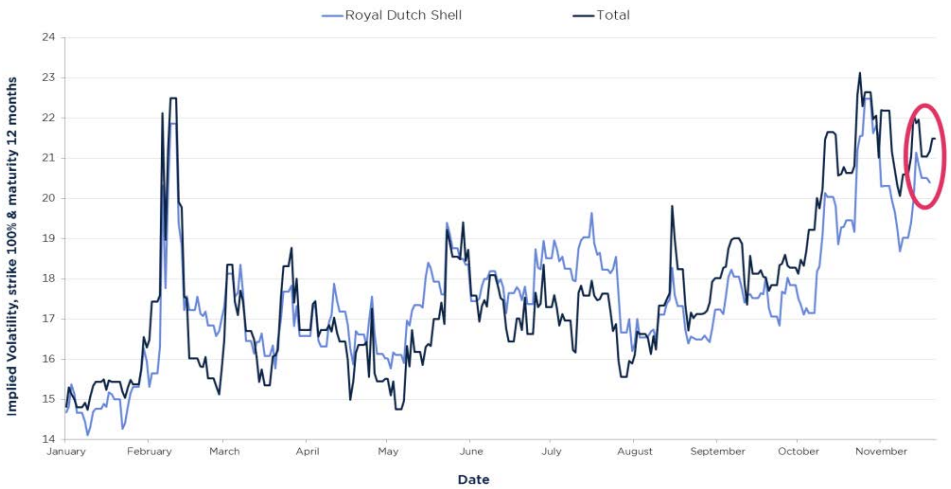
Recommended oil companies

2 big oil integrated companies recommended

- Strong operational performances
- Low capital expenditures
- Now able to give shareholders returns in the form of cash dividends or share buybacks
- **Significant reduction of cash flow break-even. It stands now below US$50/barrel by 2021**

Recent increase in volatility

The recent increase of the implied volatility of these 2 stocks enables us to offer a defensive structure ("Low Strike") with an attractive potential return.



DEFENSIVE EXPOSURE TO OIL COMPANIES

Yield Enhancement Product

Product's features

- **Maturity :** 18 months
- **Underlying :** Worst Performing Stock among: & TOTAL
- **Automatic early redemption level :** 100% of the initial level
- **Autocall & coupon observation frequency :** Quarterly
- **Strike level & Coupon barrier level :** 75% of the initial level
- **Conditional coupon level with memory effect** paid quarterly if the Underlying is at or above 75% of the initial level **:**

Currency	Conditional coupons
USD	1.85% per quarter (i.e. 7.40% p.a.)
EUR	1.00% per quarter (i.e. 4.00% p.a.)
CHF	0.90% per quarter (i.e. 3.60% p.a.)

- **Protection level :** Redemption at 100% at maturity if the Underlying is at or above 75% of the initial level

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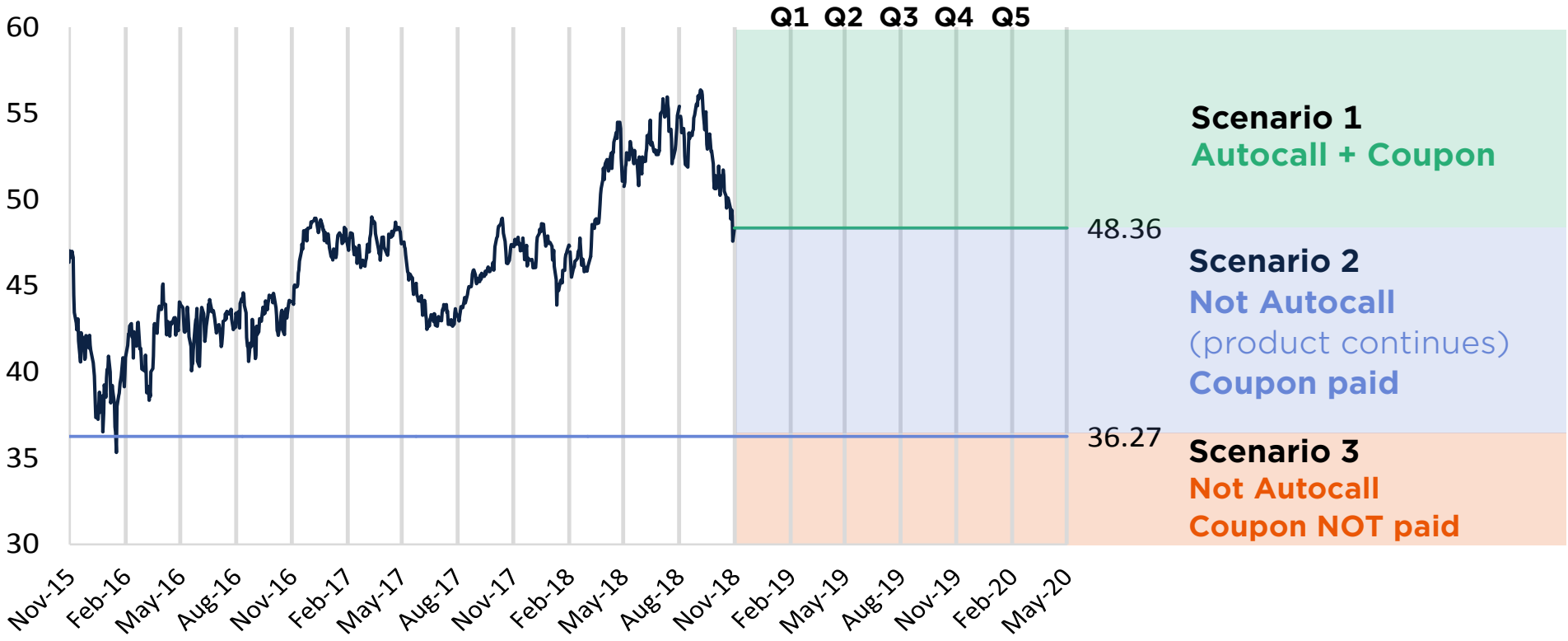
Yield Enhancement Product

Autocall mechanism: 5 quarterly observations



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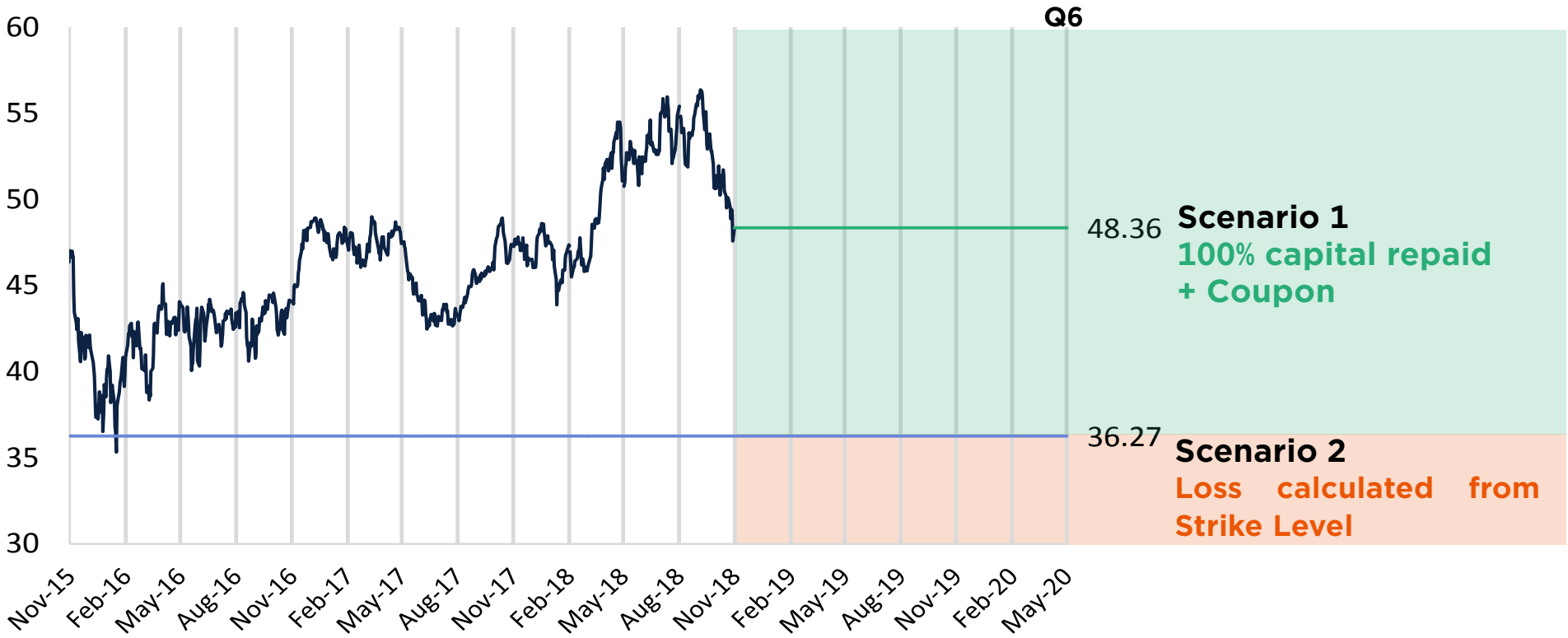
If not automatically called, at maturity



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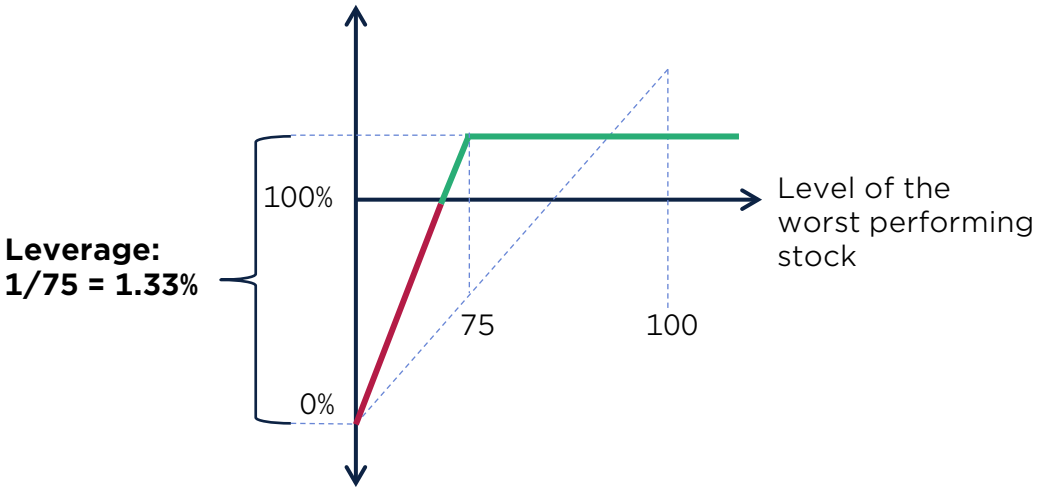
Yield Enhancement Product

Redemption scenario at maturity

			Strike 75%				
Worst Performing Stock's performance at maturity	-30%	**-26%**	**-25%**	-10%	0%	15%	50%
Redemption of product (excluded coupon payments)	93.33%	**98.67%**	**100%**	100%	100%	100%	100%

Illustration of payoff at maturity



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Yield Enhancement Product

Historical chart of Total and Royal Dutch Shell along with indicative strike and autocall levels

Subscriptions until November 28th, 2018 – 4PM

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